

AMEX Tax Department -- Audit Response Policy and Procedure

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1. Purpose and Scope

This manual establishes the policies and procedures for responding to tax audits and examinations by federal, state, and international tax authorities. It applies to all personnel in the American Express Enterprise Tax Department and external advisors engaged in audit defense.

The manual covers: initial audit notification processing, document retention and production, IDR response protocols, taxpayer position development, appeals and settlement procedures, and post-audit remediation.

2. IDR Response Protocol

Upon receipt of an IDR: (1) Log the IDR in the Tax Controversy Management System within 24 hours. (2) Assign a lead analyst based on the subject matter. (3) Schedule a kickoff meeting with the lead analyst, tax controversy manager, and relevant subject matter experts within 3 business days. (4) Prepare a response timeline -- default 30 days from receipt. (5) Draft responses undergo two levels of review: technical review by a tax director and legal privilege review by Corporate Legal. (6) Final responses are approved by the VP, Tax Controversy before submission.

3. Document Production Guidelines

All documents produced to tax authorities must be reviewed for: (a) attorney-client privilege -- work product or communications with legal counsel must be withheld or redacted; (b) relevance -- only documents responsive to the specific IDR request should be produced; (c) confidentiality -- PII including Social Security numbers, individual compensation amounts, and customer data must be redacted unless specifically requested and legally required; (d) consistency -- ensure documents are consistent with prior productions and publicly filed returns.

4. Escalation Procedures

Escalation to the SVP, Tax and/or General Counsel is required when: (a) proposed adjustments exceed \$50M for a single issue, (b) the examiner requests documents that may be subject to attorney-client privilege, (c) the examining agent threatens summons enforcement, (d) the audit involves coordination with DOJ Tax Division or criminal investigation, (e) settlement negotiations involve concessions that would establish unfavorable precedent for future tax years.